Women Finance Ministers' Political Affiliation and Fiscal Policy Outcomes

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Abstract

This paper examines whether women Finance Ministers' political affiliation shapes their fiscal policy choices, and whether those effects are conditioned by the ideological alignment or distance between the Finance Minister and the head of government. Using a balanced country-year panel of Finance Ministers drawn from WhoGov (within and cross-sectional versions merged), matched with ideology data from the Global Leader Ideology Dataset (GLID) and fiscal outcomes from the IMF World Economic Outlook, I estimate a two-way fixed effects (TWFE) model with country and year fixed effects across up to 177 countries from 1980–2023. The analysis identifies 411 women Finance Ministers across the full sample. Causal identification addresses the non-random "glass cliff" appointment pattern by instrumenting for women Finance Minister appointment using the count of women in other cabinet positions. The paper contributes to the literature on gender and economic institutions, descriptive versus substantive representation, and the political economy of fiscal policy.

1 Introduction

Women's representation in political institutions has grown modestly over recent decades, but men continue to dominate economic policymaking positions globally. As of early 2026, women hold only 22.4% of cabinet positions worldwide, a figure that has declined from 2024, and only 14 countries have achieved gender parity in their cabinets. The Finance Ministry one of the most powerful and consequential cabinet portfolios remains particularly male-dominated. Against this backdrop, a central question for political economy and gender studies arises: when women do break through to head Finance Ministries, do they govern differently from men?

A large body of scholarship documents gender differences in political attitudes, risk preferences, and distributive priorities. However, much less is known about whether partisan identity moderates or supersedes these gender differences once women enter executive positions of real economic authority. Is a left-wing woman Finance Minister more similar to a left-wing man than to a right-wing woman? Does ideological alignment between the Finance Minister and the head of government mediate the degree to which any gender-specific fiscal patterns emerge?

This paper addresses these questions by constructing a novel country-year panel combining three datasets: WhoGov, the Global Leader Ideology Dataset (GLID), and the IMF World Economic Outlook (WEO). The merged dataset covers up to 177 countries from 1980–2023 and identifies 411 women Finance Ministers—a substantially larger sample than prior cross-national work. The core empirical strategy is a two-way fixed effects (TWFE) model augmented with an instrumental variable (IV) to address the endogeneity of women FM appointment.

The paper makes three contributions. First, it provides the most comprehensive cross-national analysis to date of women Finance Ministers' fiscal policy outcomes. Second, it introduces ideology as a moderating variable, testing whether the partisan identity of the Finance Minister shapes fiscal behaviour differently for women than men. Third, it engages directly with the glass cliff literature (Armstrong et al., 2024) by proposing and implementing an instrument for women FM appointment to address crisis-driven selection bias.

The remainder of the paper proceeds as follows. Section 2 reviews the relevant literature. Section 3 describes the data and the instrument. Section 4 presents the empirical strategy. Section 5 discusses expected results.

2 Literature Review

The paper builds on three strands of literature: the relationship between demographic identity and policymaking in economic institutions; the evidence on whether women leaders govern differently; and the political economy of fiscal policy and ideology.

A growing body of work establishes that the demographic composition of economic institutions shapes both policy decisions and public perceptions of legitimacy. McDowell and Steinberg (2024) show that Black representation within the Federal Reserve increases institutional trust among Black respondents, establishing that descriptive identity within economic institutions has direct consequences for perceived state legitimacy. Bodea and Kerner (2025) find that citizens on average trust women central bankers less, particularly during high inflation, pointing to a persistent gender bias in the perception of economic competence. Dutta and Tzur-Ilan (2024) document structural barriers for women within the Federal Reserve itself, finding gender gaps in publication output despite comparable or greater work effort by women economists. Charlety et al. (2016) show that central bank board appointments follow gendered replacement dynamics—women are significantly more likely to be appointed when replacing another woman— suggesting a tokenism or quota-substitution logic that has direct parallels in Finance Ministry appointments.

The evidence on whether women leaders *govern differently* is mixed and context-dependent. Chattopadhyay and Duflo (2004) provide clean experimental evidence from India showing that randomly assigned female village council leaders invest differently from male leaders, particularly in public goods valued by women. Atchison and Down (2009) find that higher female cabinet representation is associated with more female-friendly social policy across a cross-national sample. In the fiscal and monetary domains, however, results are more nuanced. Masciandaro et al. (2020) find that greater female representation on monetary policy boards is associated with more hawkish interest rate decisions, directly contradicting the stereotype that women policymakers are dovish or risk-averse. Suzuki and Avellaneda (2018) document lower fiscal risk-taking associated with women in local public finance in Japan, but note strong dependence on institutional context. Moessinger (2012) establishes that personal characteristics of Finance Ministers, including age and education, affect public debt trajectories, confirming that minister-level heterogeneity matters for fiscal outcomes.

A critical strand for identification is the glass cliff literature. Armstrong et al. (2024) find that women are disproportionately appointed as Finance Ministers during financial crises, and that this pattern is strongest in countries with no prior female head of government. Crucially, crisis periods do not reduce women's tenure relative to men, implying that the glass cliff is a selection phenomenon rather than a performance one. Kern et al. (2025) document a parallel pattern in central banking: sovereign debt crises increase the probability of women being appointed to central bank boards, and such appointments are associated with more conservative monetary outcomes. Together, this evidence implies that naive TWFE estimation of fiscal outcomes on women FM indicators will be downward biased, since women are appointed precisely when fiscal conditions are deteriorating.

On the ideology side, van Ommeren and Piccillo (2021) show strong and persistent ideological effects in central banking, with right-leaning appointees pursuing more hawkish policy throughout their tenure. This suggests that for Finance Ministers, the partisan identity of the appointment may be as important as gender. Krook and O'Brien (2012) and O'Brien et al. (2015) document the determinants of female cabinet appointments globally, while Field (2021) examines the institutional conditions under which gender shapes ministerial portfolio allocation. None of this work, however, connects women Finance Ministers' partisan identity to their fiscal policy choices, the gap this paper addresses.

3 Data

3.1 Dataset Construction

The analysis draws on three primary datasets merged into a country-year panel.

Cabinet data. The WhoGov dataset (Nyrup and Bramwell, 2020) combines within-country and cross-sectional versions to provide individual-level data on cabinet ministers across 177 countries from 1945 to 2023. Key variables include minister name, gender, party affiliation, portfolio assignment, and tenure dates. Finance Ministers are identified using the binary indicator `m_Finance`, constructed by WhoGov to flag Finance Ministers regardless of variation in position titles across countries—an important distinction, since relying on the position string alone would miss approximately 180 of the 411 women Finance Ministers in the sample. The merged and balanced version of the panel contains 9,101 country-year Finance Minister observations spanning 1963–2023.

Ideology data. Finance Minister party ideology is constructed in two steps. First, an original ideology variable was built for each Finance Minister using a combination of AI-assisted coding and Wikipedia biographical sources for each political party in each country, classifying each minister's partisan affiliation on a 1–6 left-right scale (1 = far left, 6 = far right) across the full country-year sample. This minister-level ideology variable (`fm_ideology1`) is then cross-validated against and supplemented by the Global Leader Ideology Dataset (GLID), which provides expert-coded and survey-based left-right scores for heads of government across countries and years. The GLID merge also yields the head-of-government ideology variable, enabling construction of the ideological distance between the Finance Minister and the HOG. The variable `fm_ideology1` is complete for all 9,101 observations, with mean 3.84 and standard deviation 1.75 on the 1–6 scale.

Fiscal outcomes. Fiscal data come from the IMF World Economic Outlook (WEO) database, providing annual country-level general government revenue, expenditure, net lending/borrowing (fiscal balance), and gross debt—all as a share of GDP—for 196 countries from 1980–2023. The WEO is preferred over the IMF Government Finance Statistics (GFS) because its broader coverage avoids the selection problem that would arise from restricting to the 45–74 countries with consistent GFS reporting, which are disproportionately high-income OECD economies where both women Finance Ministers and constrained fiscal institutions are more common. The WEO data were cleaned from wide to long format, with non-numeric entries removed, yielding 8,624 usable country-year observations.

Merge. The WhoGov+GLID Finance Minister panel is merged many-to-one with the WEO fiscal data on ISO3 country code and year. The merge yields 7,053 matched observations out of 9,101 total minister-year observations. The 2,048 unmatched master observations are pre-1980 years excluded from all regressions. The effective analysis window is 1980–2023, with approximately 140–169 countries per year. After matching, 5,393 observations have non-missing fiscal balance data (76.5% of matched observations), forming the core analysis sample. Summary statistics from the merged dataset are pending and will be presented in the final version of the paper.

3.2 Instrument: Women in Other Cabinet Positions

A central identification challenge is that women Finance Minister appointments are not random. The glass cliff literature (Armstrong et al., 2024; Kern et al., 2025) establishes that women are disproportionately appointed during fiscal crises, precisely when fiscal outcomes are already deteriorating. A naive TWFE estimate will therefore be downward biased.

To address this, I instrument for women FM appointment using the count of women in other cabinet positions in the same country-year:

$$Z_{it} = \texttt{n\_female\_minister}_{it} - \mathbf{1}[\text{gender}_{it} = \text{Female}]$$

The *relevance condition* is that countries with more women in cabinet generally have a higher probability of appointing a woman to the Finance Ministry, through both supply-side effects (a larger pool of politically experienced women) and norm diffusion within the executive. The *exclusion restriction* requires that the number of women in other ministries affects fiscal outcomes only through the Finance Minister channel. This is defensible because ministries such as Agriculture, Foreign Affairs, and Social Affairs do not directly control the budget. The main threat to exclusion—a progressive government simultaneously placing women everywhere and pursuing expansionary fiscal policy—is addressed by including HOG ideology as a control. A secondary instrument to be explored is the regional diffusion variable: the share of countries in the same region that had a woman Finance Minister in year $t-1$, capturing peer-pressure and demonstration effects plausibly exogenous to any given country's fiscal balance.

4 Empirical Strategy

4.1 IV Two-Way Fixed Effects

The baseline estimating equation is:

$$Y_{it} = \beta_1 \text{FemaleFM}_{it} + \beta_2 \text{Ideology}_{it} + \beta_3 (\text{FemaleFM}_{it} \times \text{Ideology}_{it}) + \gamma X_{it} + \alpha_i + \lambda_t + \varepsilon_{it} \quad (1)$$

where Y_{it} is a fiscal outcome in country i and year t (revenue, expenditure, fiscal balance, or gross debt as % of GDP); FemaleFM_{it} is an indicator equal to 1 when a woman holds the Finance Ministry; Ideology_{it} is the Finance Minister's ideology score (1–6 scale); X_{it} is a vector of time-varying controls; α_i are country fixed effects; and λ_t are year fixed effects. Standard errors are clustered at the country level. The coefficient of interest is β_3, capturing whether ideology shapes fiscal behaviour differently by gender.

Time-varying controls include GDP growth rate, inflation rate, a financial crisis indicator, HOG ideology, HOG leader experience (years in office), the democracy indicator (Regimes of the World), and the share of women in the full cabinet. Given the glass cliff endogeneity, FemaleFM_{it} is treated as endogenous and instrumented by Z_{it} (Section 3.2). The IV-TWFE first stage is:

$$\text{FemaleFM}_{it} = \pi_1 Z_{it} + \pi_2 \text{Ideology}_{it} + \gamma X_{it} + \alpha_i + \lambda_t + \nu_{it} \tag{2}$$

with instrument strength evaluated by the first-stage F-statistic (threshold: $F > 10$). The second stage substitutes $\widehat{\text{FemaleFM}}_{it}$ into equation (1).

4.2 HOG Alignment Specification

To assess whether ideological alignment between the Finance Minister and the head of government conditions the gender-ideology effect, I extend equation (1) to:

$$\begin{aligned} Y_{it} = {} & \beta_1 \text{FemaleFM}_{it} + \beta_2 \text{Ideology}_{it} + \beta_3 (\text{FemaleFM}_{it} \times \text{Ideology}_{it}) \\ & + \beta_4 (\text{FemaleFM}_{it} \times \text{HOGIdeology}_{it}) + \gamma X_{it} + \alpha_i + \lambda_t + \varepsilon_{it} \end{aligned} \tag{3}$$

β_4 captures whether the head of government's ideology moderates the fiscal behaviour of women Finance Ministers—for instance, whether ideological co-partisanship between the FM and HOG grants the FM greater fiscal discretion, or whether a misaligned HOG constrains it. An alternative specification replaces the HOG ideology level with the ideological distance measure $|\text{Ideology}_{it} - \text{HOGIdeology}_{it}|$ to test whether the *degree* of misalignment, not just its direction, shapes outcomes.

5 Expected Results

Results are pending completion of the Stata analysis on the merged dataset. The following expectations are grounded in the theory and empirical literature reviewed above.

On the OLS TWFE baseline, I expect a negative and significant β_1: women Finance Ministers associated with worse fiscal balances on average, reflecting the glass cliff selection mechanism rather than a causal gender effect. The ideology interaction β_3 is the central test: if ideology dominates gender, the interaction should be significant and the pure gender coefficient should attenuate substantially once ideology is controlled. A positive β_3 would imply that left-wing women Finance Ministers are associated with more expansionary fiscal policy relative to right-wing women, consistent with standard partisan fiscal theory.

On the IV-TWFE, I expect the women FM coefficient to move toward zero or turn positive once the glass cliff selection is purged—mirroring the pattern in Armstrong et al. (2024) where crisis-driven selection accounts for much of the apparent gender-fiscal correlation. A strong first stage ($F > 10$) is expected given the tight mechanical relationship between women's representation in the broader cabinet and Finance Ministry appointments.

On the HOG alignment specification, I expect β_4 to be positive and significant—women Finance Ministers with ideologically co-partisan HOGs should exhibit stronger partisan fiscal signals—consistent with the principal-agent logic that ministerial fiscal discretion is greatest when the FM and HOG share partisan interests (van Ommeren and Piccillo, 2021). These results, taken together, would establish that the *type* of woman appointed— her ideology and her relationship to the head of government—matters more than gender per se for fiscal outcomes.

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